

Write your name here

Surname

Other names

Pearson Edexcel

Level 3 GCE

Centre Number

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Candidate Number

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Economics B

Advanced

Paper 2: Competing in the global economy

Predicted Paper — 2026

Time: 2 hours

Paper Reference

9EB0/02

You do not need any other materials.

Total Marks

Instructions

- Use **black** ink or ball-point pen.
- **Fill in the boxes** at the top of this page with your name, centre number and candidate number.
- Answer **all** questions.
- Answer the questions in the spaces provided – *there may be more space than you need.*

Information

- The total mark for this paper is **100**.
- The marks for **each** question are shown in brackets – *use this as a guide as to how much time to spend on each question.*
- Calculators may be used.

Advice

- Read each question carefully before you start to answer it.
- Try to answer every question.
- Check your answers if you have time at the end.

Answer ALL questions.

SECTION A

Read the following extracts (A to C) before answering Question 1.

Write your answers in the spaces provided.

Extract A

UK trade in goods with selected partners, 2022 (£ billions)

Partner	UK exports of goods	UK imports of goods
Germany	36.8	78.1
United States	57.9	59.3
China	20.1	63.6
India	8.2	11.4
France	26.5	31.2

(Source: adapted from © Office for National Statistics / Crown Copyright)

Extract B

Yorkshire Tea brews up Indian growth plans

Taylors of Harrogate, the Yorkshire-based owner of Yorkshire Tea, announced plans in 2023 to expand into India — the world's second-largest tea market. The firm currently exports to more than 40 countries but has relied heavily on sales in the UK, Ireland, and Australia.

"India is a huge opportunity, but it is also a tea-producing nation with strong local brands," said the firm's export director. "We spent two years studying local consumer preferences before committing. Indian consumers prefer stronger, spiced blends, so we have developed new recipes specifically for that market. Without that research, we would almost certainly have misjudged the market and wasted investment."

The company will enter India through a joint venture with a local distributor, which brings knowledge of local supply chains and retail relationships. Rising disposable incomes in urban India have created a growing middle class willing to pay a premium for imported branded goods.

(Source: adapted from Yorkshire Tea targets Indian market © businessdaily.co.uk 2023)

Extract C

UK Export Finance helps SMEs compete overseas

UK Export Finance (UKEF) — the UK government's export credit agency — provided £6.5 billion in support to UK exporters in 2022-23, helping over 500 small and medium-sized enterprises (SMEs) sell abroad. UKEF offers loan guarantees, insurance against non-payment, and direct lending for overseas buyers who purchase UK goods and services.

A spokesperson commented: "Exporters face risks that domestic sellers do not — currency volatility, non-payment by overseas buyers, and political risk. Our support reduces these risks. In the past year we have enabled British firms to win contracts in more than 75 countries." 5

Economists argue that supporting exports can generate positive multiplier effects in the UK economy, as additional revenues flow to workers and suppliers. However, critics argue that subsidising private firms distorts the market and that taxpayer money should be directed elsewhere, such as education or infrastructure. 10

(Source: adapted from UKEF Annual Report 2022-23 © gov.uk)

(a) Using the data from Extract A, calculate the UK balance of trade in goods with China in 2022. You are advised to show your working. (4)

(c) Using data from Extract A, explain one reason why the UK may have a comparative disadvantage in the production of goods. (4)

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(d) Analyse why the owners of *Taylors of Harrogate* believe it is important to research consumer preferences before exporting. (6)

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(10)

(g) Assess the likely impact of UK Export Finance's support for SMEs on the UK economy. (Extract C)

(12)

(12)

TOTAL FOR SECTION A = 60 MARKS

SECTION B

Read the following extract (D) before answering Question 2.

Write your answer in the space provided.

Extract D

Selected economic indicators, 2022

Country	GDP per capita (US\$ PPP)	Life expectancy at birth (years)	Mean years of schooling
UK	48,693	81.2	13.4
Vietnam	11,489	73.7	8.4
Nigeria	5,860	54.6	7.2
Mexico	21,362	70.1	9.2
South Korea	46,918	83.6	12.5

(Source: adapted from UNDP Human Development Report and World Bank data)

(Total for Question 2 = 20 marks)
TOTAL FOR SECTION B = 20 MARKS

SECTION C

Read the following extracts (E and F) before answering Question 3.

Write your answer in the space provided.

Extract E

EU imposes tariffs on Chinese electric vehicles

In October 2024, the European Union imposed tariffs of up to 35% on electric vehicles (EVs) imported from China, in addition to the existing 10% import duty. The EU argued that Chinese EV manufacturers had benefitted from unfair state subsidies, allowing them to undercut European producers on price.

Chinese EV maker BYD, which saw its European sales grow rapidly in 2023, responded by announcing plans to build a new factory in Hungary, allowing it to produce cars inside the EU and bypass the tariffs. Other Chinese firms are considering similar investments. China has warned of retaliatory tariffs on European exports, including luxury cars and dairy products. 5

European consumers are likely to face higher prices for electric vehicles in the short term, while European manufacturers such as Volkswagen and Renault may gain market share. 10

(Source: adapted from EU hits Chinese EVs with tariffs, ft.com 2024)

Extract F

BYD — a rising Chinese multinational

BYD, founded in Shenzhen in 1995 as a battery manufacturer, has become one of the world's largest producers of electric vehicles. In 2023, it overtook Tesla as the global leader in EV sales by volume, with more than 3 million vehicles sold across over 70 countries.

BYD's strategy has emphasised vertical integration — the firm produces its own batteries, semiconductors, and electric motors, which has allowed it to control costs during global supply chain disruptions. Its average selling price is roughly 25% below that of its European competitors. 5

The firm's international expansion has relied heavily on direct exports from its Chinese factories. However, with rising protectionism — including tariffs in the EU and potential restrictions in the US — BYD is accelerating investment in overseas production. New factories are planned in Hungary, Thailand, and Brazil. 10

(Source: adapted from BYD drives global EV expansion © reuters.com 2024)

3 Evaluate the likely impact of tariffs on a multinational firm such as *BYD*.

(20)

(Total for Question 3 = 20 marks)

TOTAL FOR SECTION C = 20 MARKS

TOTAL FOR PAPER = 100 MARKS